

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: September 25, 2024

ORDER OF: Linda S. Harris CROVELLA, *Administrative Law Judge*.

Order Deferring Motion to Dismiss

I. Introduction

On May 8, 2024, a Notice of Filing of Complaint and Assignment was issued by the Federal Maritime Commission (“FMC” or “Commission”), stating that Peloton Interactive, Inc. (“Peloton” or “Complainant”) had filed a complaint against Flexport International LLC (“Flexport” or “Respondent”). The Complaint alleges unjust and unreasonable practices in relation to detention and demurrage charges (“D&D”) and deficient invoicing, in violation of 46 U.S.C. §§ 41102(c), 41104(a)(15), 41104(a)(14), and 46 C.F.R. §§ 545.4, 545.5.

On June 17, 2024, Flexport filed Respondent’s Motion to Dismiss (“MTD”), seeking to dismiss the complaint for lack of subject matter jurisdiction, failure to allege essential elements, and failure to identify what information it alleges is missing from the invoices at issue. MTD at 8, 14.

On July 2, 2024, Peloton filed Complainant’s Opposition to Respondent’s Motion to Dismiss (“Opposition”), seeking denial of Flexport’s Motion and asserting that Peloton has adequately set forth plausible claims for which relief should be granted. Peloton did not file a countermotion for leave to amend the complaint, but in its opposition, it “requests the opportunity to amend its Complaint” if the original complaint is found lacking. Opposition at 23, n. 19.

On July 9, 2024, Flexport filed a reply (“Reply”) to Peloton’s Opposition.

For the reasons discussed below, Respondent’s motion to dismiss is deferred pending Complainant filing an amended complaint. Within 7 days from the date of this order, Complainant must file an amended Complaint as further addressed below.

II. Arguments of the Parties

Flexport argues that Peloton fails to state a claim for which relief can be granted because it raised breach of contract or false advertising claims over which the Commission does not have jurisdiction. MTD at 1, 2, 11; Reply at 1. Moreover, Peloton does not plausibly allege a “practice” within the meaning of 46 U.S.C. § 41102(c). MTD at 9, 14. Peloton also fails to identify what information is missing from the invoices in violation of § 41104(a)(15) and fails to identify what practices in connection

with the assessment of D&D charges violate 46 U.S.C. § 41104(a)(14). MTD at 13. Flexport in addition asserts that while Peloton alleges the services at issue were provided from 2020 to 2023, any claims not brought by Peloton within three (3) years of occurrence are time-barred pursuant to 46 C.F.R. § 502.62(a), and any invoice charges issued before June 16, 2022, would not be subject to 46 U.S.C. § 41104(a)(15), which was enacted by OSRA 2022. MTD at 12-13.

Peloton opposes the motion, stating it has established a plausible claim for relief under the Shipping Act by alleging that Flexport wrongfully invoiced Peloton millions of dollars in D&D charges. Opposition at 1. Peloton asserts that the Complaint “identifies practices that clearly invoke the incentive principle as outlined in the Commission’s final rulemaking discussion on the Interpretive Rule on [D&D] Under the Shipping Act (85 F.R. 29638) (“Interpretive Rule”)”. Opposition at 2. Further, it set forth sufficient facts demonstrating that Flexport has failed to comply with “store door” terms in violation of the Shipping Act. Opposition at 3-4.

III. Discussion

Because it is early in the proceeding, Peloton requests the opportunity to amend the complaint (although a motion for leave to amend would have been more appropriate), and it is within the discretion of the undersigned to order an amendment that allows Flexport the opportunity to reply, Peloton is ordered to file an amended complaint. 46 C.F.R. § 502.66(a). Specifically, Commission Rule 66(a) allows the presiding officer to direct a party to state its case more fully and in more detail by way of amendment, and here, more detail is warranted. *Id.* In addition, 46 C.F.R. § 502.62(a) addresses the filing, form, and content of private party complaints seeking formal adjudication, and using that as guidance, Peloton must state its case in more detail as described below.

Peloton’s complaint does not contain a chronology of events aside from a broad period that falls both before and after the effective date of OSRA 2022 and alleging causes of action based on language added by OSRA 2022. As examples of the lack of a chronology, Peloton alleges it entered into an agreement with Flexport, but does not state when the parties entered into such agreement or for what duration (Complaint ¶¶ 14, 18); it alleges it “ultimately engaged a third-party logistics provider to manage the inland intermodal transportation of certain Peloton Containers” but it does not indicate the date it engaged the third-party logistics provider, or for what containers that provider took over intermodal transportation (Complaint ¶ 24), or how that impacts the alleged reparations claimed; and it alleges that it has “incurred substantial injuries and monetary damages” (Complainant ¶ 30), but it does not plead an approximate amount at issue yet alleges that it “sent a demand letter...in an effort to resolve the matter...[which] includes providing a list of charges with FLEX-ID numbers.” Complaint at 10.

The Complainant must clarify its claims and when the acts or omissions on which it bases its claims occurred, and approximately how much it seeks in reparations for each alleged violation. Based on the list of charges and FLEX-ID numbers it presented to Flexport in its demand letter and based on the engagement of another third-party logistics provider, this information appears to be available. Clarification should better identify the shipments, containers, or invoices at issue and when the claims allegedly accrued.

In regard to clarifying when the various claims accrued, Commission Rule 62(a)(4)(iii) sets forth time limitations for seeking reparations: “[a] complaint seeking reparation must be filed within three years after the claim accrues.” 46 C.F.R. § 502.62(a)(4)(iii). Peloton filed the complaint with

the Secretary of the Commission on May 3, 2024. Because Peloton alleges violations that occurred in a general timeframe as long as four years prior to the filing of the complaint, and it does not otherwise provide identification of the shipments at issue, it is difficult to know what shipments or containers were subject to the alleged improper D&D charges and for what shipments or containers Complainant seeks reparations. More specificity as to the timeframe of the shipments and associated invoices will assist in identifying the shipments that were subject to the alleged improper D&D charges and for which Complainant seeks reparations.

As guidance regarding what a complaint must allege to support a § 41102(c) claim, it is helpful to review Commission Rule 545.4 (the “Interpretive Rule”), issued on December 17, 2018, specifying the elements of a § 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018).

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

While Peloton lists alleged unreasonable practices at ¶ 38 of the complaint, and it alleges that these “actions and omissions...occurred on an ongoing and continuous basis over a period of approximately three years from 2020 to 2023,” it does not sufficiently allege that these practices “are occurring on a normal, customary, and continuous basis” or adequately allege what practice(s) are “the proximate cause of the claimed loss.” 46 C.F.R. § 545.4. These allegations should be clarified in the amended complaint.

Count II alleges violation of 46 U.S.C. § 41104(a)(15), and Count III alleges violation of 46 U.S.C. § 41104(a)(14), both added by OSRA 2022, the relevant portions of which provide:

- (a) In general.--A common carrier, either alone or in conjunction with any other person, directly, or indirectly, shall not—

* * *

(14) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations);

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d)...

46 U.S.C. § 41104(a)(14), (15).

The Commission has stated that “OSRA requirements became effective when enacted on June 16, 2022” and “included no phase-in periods, with a few limited exceptions.” *See*, <https://www.fmc.gov/ocean-shipping-reform-act-of-2022-implementation>. Peloton alleges that Flexport failed “to provide Peloton with adequately detailed billing information and/or invoices related to D&D charges to permit Peloton to meaningfully understand and/or contest the charges.” Complaint at ¶ 38(f). However, because Peloton does not plead the dates such omissions allegedly occurred, it is unclear if it is alleging that this is a practice that violates 46 U.S.C. § 41102(c) only as it relates to Count III and 46 U.S.C. § 41104(a)(14), or whether it is also pleading inadequate billing detail and/or invoices as a separate unreasonable practice that violates § 41102(c) prior to OSRA 2022, and it must clarify. Moreover, Peloton must identify what information it alleges is missing from the invoices.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the findings set forth above, it is hereby

ORDERED that Respondent Flexport International LLC’s Motion to Dismiss be **DEFERRED. It is**

FURTHERED ORDERED that Complainant file an amended Complaint by October 2, 2024. If the amended Complaint is filed by that date and clarifies the allegations as set forth above, the MTD the original complaint will be denied as moot under separate order, and Respondent must file an answer within 10 days of the denial issuance. No further filings will be accepted from the parties relating to the instant MTD.

Requests for extensions of time to file the amended complaint and the answer are unlikely to be granted.



Linda S. Harris Crovella
Administrative Law Judge